

multiplier of current earnings and below asset value, should offer good promise of satisfactory investment results.

TABLE 15-1 A Sample Portfolio of Low-Multiplier Industrial

	Price Dec. 1970	Earned Per Share Last 12 Months	Book Value	S & P Ranking	Price Feb. 1972
Aberdeen Mfg.	10%	\$1.25	\$9.33	B	13%
Alba-Waldensian	6%	.68	9.06	B+	6%
Albert's Inc.	8%	1.00	8.48	n.r. ^a	14
Allied Mills	24%	2.68	24.38	B+	18%
Am. Maize Prod.	9%	1.03	10.68	A	16%
Am. Rubber & Plastics	13%	1.58	15.06	B	15
Am. Smelt. & Ref.	27%	3.69	25.30	B+	23%
Anaconda	21	4.19	54.28	B+	19
Anderson Clayton	37%	4.52	65.74	B+	52%
Archer-Daniels-Mid.	32%	3.51	31.35	B+	32%
Bagdad Copper	22	2.69	18.54	n.r. ^a	32
D. H. Baldwin	28	3.21	28.60	B+	50
Big Bear Stores	18%	2.71	20.57	B+	39%
Binks Mfg.	15%	1.83	14.41	B+	21%
Bluefield Supply	22%	2.59	28.66	n.r. ^a	39% ^b

^a n.r. = not ranked.

^b Adjusted for stock split.

Single Criteria for Choosing Common Stocks

An inquiring reader might well ask whether the choice of a better than average portfolio could be made a simpler affair than we have just outlined. Could a single plausible criterion be used to good advantage—such as a low price/earnings ratio, or a high dividend return, or a large asset value? The two methods of this sort that we have found to give quite consistently good results in the longer past have been (a) the purchase of low-multiplier stocks of important companies (such as the DJIA list), and (b) the choice of a diversified group of stocks selling under their net-current-asset value (or working-capital value). We have already pointed out that the low-multiplier criterion applied to the DJIA at the end of 1968 worked out badly when the results are measured to mid-1971. The record of common-stock purchases made at a price below their working-capital value has no such bad mark